

Article | 10 June 2026

UNITED STATES

US Inflation details ease concerns of energy spillover effects

While US headline inflation was lifted by sharp gasoline and airline fare increases, other components were better behaved, leading to a softer-than-anticipated core inflation print. June's inflation rate should be pulled lower by a reversal in gasoline, but inflation remains vulnerable to ongoing volatility in energy costs



Headline inflation rose in May but core inflation was softer than expected

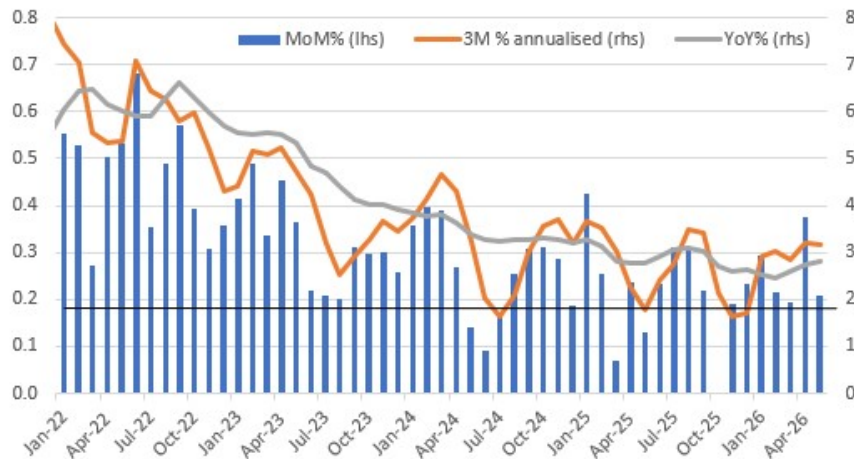
Core inflation better behaved than expected

The May consumer price inflation report rose 0.5% month-on-month/4.2% year-on-year at the headline level, as expected, but core inflation was a touch softer at 0.2%MoM/2.9%YoY versus the 0.3% consensus forecast and the 0.4% print from April. To three decimal places it was a 0.208% core CPI MoM print.

Prior to the release, there was a clear skew in economists' forecasts towards the prospect of a 0.2% outcome being more likely than a 0.4% outcome. Nonetheless, the chart below shows that the MoM rates continue to run hot relative to the 0.17% MoM trend that is needed to bring the annual rate of inflation back down to 2%. As such, market reaction is fairly muted though, with 10Y yields down around 3bp and Fed rate hike expectations for 2026 being pared back to

25bp from 28bp.

Core consumer price inflation metrics (MoM%, 3M annualised, YoY%)



Source: Macrobond, ING

Government shutdown effects unwind

The details show a 7% MoM jump in gasoline prices did the damage at the headline level, but this should reverse in the June CPI report given that gasoline prices nationally are back down to \$4.15/gallon after averaging \$4.50 through May. Airline fares were also a strong upward influence, rising 2.7% while education rose 0.8% and other goods and services rose 1%.

Counteracting these components, we saw a 0.3% price drop for new vehicles while housing, which has a 44% weighting within the inflation basket, rose just 0.2% MoM. Remember it had jumped 0.7% MoM last time due to survey methodology that uses a sample panel that rotates on a six-month time frame. Because the Bureau of Labor Statistics entered a 0% outcome for October – when the government shutdown prevented any survey from being conducted – there was 'payback' in the April report. That effect has now unwound.

Waning tariff, rents and wage rates can help to mitigate energy threats

Looking ahead, the housing components should show inflation pressures moderating further with private rent surveys (realtor.com, apartments.com, Zillow) pointing to outright declines in a growing number of states. Meanwhile, the Dallas Federal Reserve Bank estimates that tariffs are currently lifting the annual rate of core PCE inflation by 0.9ppt. Tariffs are a one-off step change in prices and we have since transitioned to a lower tariff regime, that includes many exemptions, following the Supreme Court's decision to strike down 'Liberation Day' tariffs. The

refunds of those tariffs will provide relief for corporate America and should go some way to covering increases in energy/transportation costs they may be facing.

Remember too, that the biggest cost input for corporate America is the cost of the workforce and with wage growth continuing to slow, that should also help take some of the steam out of core inflation, even if headline inflation remains vulnerable to volatility in energy prices. This should all help to keep inflation expectations in check, so while we no longer expect the Fed to cut interest rates this year given improved economic momentum, we don't expect a rate hike either.

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Article | 5 June 2026

UNITED STATES

Firm US jobs numbers boost rate hike chances, but lack of breadth remains a concern

Yet another stronger-than-expected US jobs number in an environment of rising inflation is fuelling expectations of a Fed rate hike before the end of the year. Nonetheless, there is a lack of breadth in job creation and wage growth is slowing, meaning household finances are coming under increasing pressure



A stronger-than-expected jobs number in May, but wage growth is slowing and rising inflation is fuelling a Fed rate hike expectation before year-end

172,000 Jobs added in May

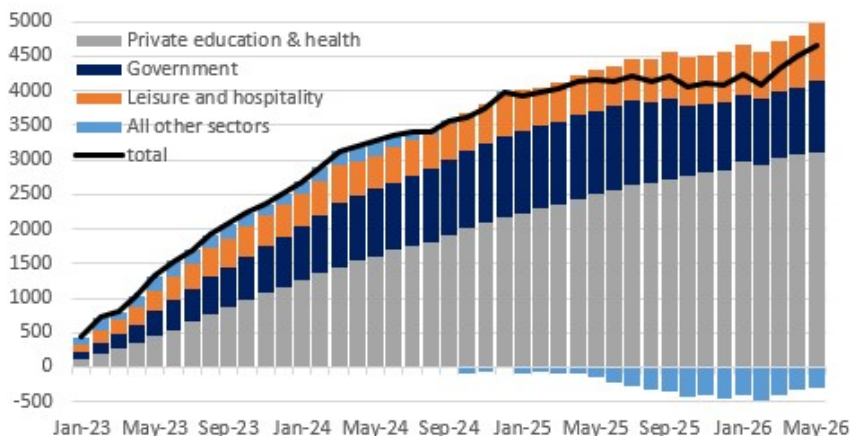
Better than expected

Payrolls boosted by the usual 'big 3'

The May jobs report is strong, with non-farm payrolls rising 172k versus the 88k consensus expectation, plus there were 93k upward revisions to the past two months' data. Private payrolls are up 120k versus 89k expected, while government added 52k. Meanwhile, the unemployment rate remained at 4.3% and wage growth slowed to 3.4% from 3.6%.

The breakdown shows that it is the usual three sectors of leisure & hospitality (+70k), government (+52k) and private education and healthcare services (+40K) that are generating the gains. That means every other sector of the US added just 10k jobs in total. The chart below shows that these 'big 3' sectors have accounted for every single one of the jobs added since December 2022. All other sectors – manufacturing, technology, energy, retail, transport and logistics, financial services, business services, etc, have lost jobs on balance over the past 3 and a bit years. So, while this is a very good report at the headline level, the lack of breadth to the job creation story remains an important theme.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Fed hike expectations build, but there is a long way to go

It is possible that the remarkably strong leisure & hospitality number was boosted by the World Cup that starts next week, but it feels a little early. Moreover, the 51k rise in local and state government looks a little too strong in the current environment. The elephant in the room is why is the official jobs data are so strong when business surveys, such as the ISM reports, indicate falling employment while the Challenger Report from earlier in the week continued to point to net losses and the daily vacancy numbers from Indeed continue to grind lower?

The household survey, which is used to calculate the unemployment rate, is more consistent

with those private sector surveys. It showed employment gains of 149k in May, but that follows four consecutive months of declines while noting the median duration of unemployment increased to 11.6 weeks.

Despite the lack of consistent messaging in the labour market data, we now have a rate hike fully priced at the December FOMC meeting. That is understandable given the Fed's hawkish pivot and the hot inflation prints of recent months. Conviction may increase further with Wednesday's CPI print expected to show headline inflation rising to 4.2% from 3.8% and core CPI edging up to 2.9% from 2.8%. Nonetheless, the squeeze on household spending power is intensifying with real household disposable incomes having fallen for three consecutive months and consumer confidence remaining close to all-time lows. There is a long way to go before the end of the year, and we still lean in the direction of eventual rate cuts assuming a deal can be reached to reopen the Strait of Hormuz.

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Article | 5 June 2026

FX RATES

June ECB cheat sheet: How to train your hawks

Here are our four scenarios for the 11 June ECB meeting, alongside implications for rates and FX. We think the ECB's current priority is solidifying markets' expectations on further tightening to hedge against inflation expectations de-anchoring. Our baseline is therefore a hawkish hike, with some indications the bank is prepared to raise rates again



This is our market preview of June's ECB meeting; you can find our macro team's preview [here](#).

Scenario analysis: How to position for Lagarde's alternatives

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.160)	10Y Bund (3.00%)
Dovish	Recent easing in energy prices somewhat reduces risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	25bp hike. Must be careful not to overtighten – implicit hints of 'one and done'	1.150	3.00%
Neutral	Reiterating April views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, have increased somewhat since April	25bp hike. Not giving any new guidance. Reiterating wide optionality on rates	1.158	3.00%
Hawkish ING base-case	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Placing less emphasis on lingering growth risks, and more on inflation	25bp hike. Opening the door more explicitly to further hikes in coming months	1.165	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	25bp hike. Strong signal this is the start of a rate hike cycle, next one possible in Jul	1.170	3.15%

The ECB is set to hike rates by 25bp on 11 June. Recent communication has effectively pre-committed markets to this outcome. A hold would come as a shock and carry significant risk for a central bank trying to avoid a repeat of the 2022 inflation crisis.

As such, our four scenarios for this meeting (above) exclude anything other than a 25bp move. A 50bp hike could be included as an ultra-hawkish outcome, but there is already additional tightening priced in for later this year, which means shocking markets now seems unnecessary.

Focus on keeping markets hawkish

Markets are fully pricing in a 25bp hike, so focus will be on forward-looking language – effectively a reality check on the 64bp of total tightening priced in by year-end. The Governing Council and President Christine Lagarde will, in our view, share a key objective: to preserve these hawkish market expectations.

That's because the June move looks more like insurance than conviction. The risk of second-round inflation effects remains as hard to estimate as the next chapter for the Gulf conflict and energy prices. Inflation forecasts, typically central to the ECB reaction function, are now heavily driven by oil prices and therefore less reliable in this environment. We think the real battleground for the ECB now is inflation expectations. They are a function of rate expectations, and unless the ECB keeps those hawkish, it risks de-anchoring.

So our baseline is a hawkish hike at this June meeting. Not so much because the ECB is necessarily planning or willing to commit to another hike in July, September, or the fourth quarter, but because it is the most prudent play as it waits for clarity on geopolitics, energy, and the data. Our macro team has acknowledged rising risk of a follow-up move in September, but our baseline remains that this June hike is a one-and-done.

Rates: ECB should tread carefully to keep inflation expectations anchored

Markets are already fully pricing in this hike, but we think a confirmation could still add more upward pressure on the curve. When paired with forward guidance about future hikes, we see rates nudge slightly higher. More emphasis on inflation risks could increase markets' pricing of inflation too, adding to the upward pressure.

A (too) dovish outcome risks feeding future inflation expectations, paradoxically adding upward pressure on rates further out the curve. This would entail a significant steepening with 2-year rates edging lower on less tightening, but a sticky 10-year rate on the back of inflation concerns further out the future. A 'one-and-done' narrative would strongly push against the positioning of current markets, which have already priced in a second hike by September. The ECB should therefore likely prefer to come across as too hawkish rather than too dovish.

Markets are also sensitive to the growth outlook and have been moving on ECB comments regarding the risks. So far, market sentiment has been very positive, helped by strong US equity performance. But the balance is fragile and an ECB voicing more worries about the growth outlook could pose some downward pressure across the entire curve.

FX: ECB hawkishness can reinforce floor for EUR

Short-term rate differentials have regained explanatory power in our EUR/USD short-term fair value model. That is likely a result of a hawkish Fed repricing while ECB tightening bets were being questioned. The rewidening in the EUR:USD two-year swap rate differential has been sizeable – roughly 25bp since end-April.

That differential is now pointing down for EUR/USD – other things equal – but still allows for a spot at 1.160+ as long as oil remains well-behaved. A hawkish ECB hike on 11 June should keep that equilibrium in place. It would also increase the upside potential for EUR/USD if the Strait of Hormuz reopens, counting on a higher base for EUR short-term rates.

So, if we are right with our baseline view, there are upside risks on meeting day for EUR/USD, with a firmer near-term outlook. We remain slightly bullish into summer, targeting a gradual move back to 1.180 in a de-escalation scenario.

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FX

FX Daily: Euro already prices a hawkish ECB

The dollar remains reasonably well bid even as May US CPI data eases some concerns about second-round effects and a more hawkish Fed. The focus today will largely be on the ECB meeting, where a 25bp rate hike is fully priced. Aggressive market pricing for ECB tightening this year suggests the euro will struggle to benefit from hawkish rhetoric today



Today's ECB hike is fully priced into money markets, with another 25bp hike priced by September

📈 USD: Dollar holds its bullish bias despite US core CPI

Price action in interest rate markets is telling us a lot about sentiment. Despite yesterday's [US May core CPI reading of 0.2% month-on-month](#), which allayed fears of second-round effects, markets are still pricing in a 25bp Fed hike by year-end. Equally in the euro rates space, our rate strategy colleagues note that short-dated EUR swap rates have lost their tight correlation with crude oil and remain very elevated. In short, it looks like it will take a lot to shake off the narrative that central banks will react to the current energy price shock.

US input into that story comes in the form of May PPI data today. Remember that parts of the PPI release, such as healthcare, financial services, airfares and insurance, feed into the Fed's preferred measure of inflation, the core PCE deflator, which is released on 25 June. Last month,

the core PCE deflator rose to 3.3% year-on-year, further away from the Fed's 2% target. And another strong set of PPI readings today stands to keep short-dated interest rates and the dollar supported as we head into next Wednesday's FOMC meeting.

In the background, emerging currencies in Asia continue to struggle. Portfolio outflows are weighing on the [tech-sensitive](#) Korean won and Taiwan dollar. We have not touched on the idiosyncratic sell-off in the Indonesian rupiah recently, but Tuesday's emergency rate hike by Bank Indonesia has failed to quell many concerns over local policy decisions there. Of course, there is also a lot of focus on USD/JPY, which looks to be sitting comfortably above 160. For reference, speculative positioning data show net yen shorts running at around 25% of open interest. During the Bank of Japan's successful FX intervention campaign in 2024, which was helped by the Fed swinging dovish, speculative yen shorts were above 50% of open interest. This serves as a reminder that Japanese authorities have their work cut out in turning this USD/JPY trend around.

Also, a quick word on USD/CAD. The Bank of Canada continues to sit at the dovish end of the spectrum, using phrases like 'excess supply' in the economy and 'looking through' inflation in yesterday's policy update. This could see USD/CAD head back to the 1.40 area and keep a cross rate, like CAD/NOK, under pressure given the more hawkish position of Norges Bank.

DXY remains bid near 100. Assuming that the ECB does not strongly hint at possible back-to-back hikes in June and July, we think the PPI story can nudge DXY towards the 100.25/35 area.

Chris Turner

➔ **EUR: A high bar for the ECB to lift the euro**

The market expects a hawkish ECB meeting today, including a 25bp hike in the deposit rate to 2.25% and plenty of hawkish rhetoric. The ECB has spoken and the market has listened in recent weeks. This means that today's hike is fully priced into money markets, with another 25bp hike priced by September. A further hike is priced early next year.

Pricing a 75bp tightening cycle in response to a stagflationary shock [may be as far as pricing can go at the moment](#). Unless the ECB hints that it might need to hike again in July (8bp is priced so far), the prospects for higher short-term EUR swap rates to lift the euro today look limited.

Short-term resistance at 1.1565/75 may be enough to contain the EUR/USD upside today. And 1.1500 could come under pressure if the US PPI data comes in hot.

Chris Turner

↑ TRY: Hawkish tone remains

The Central Bank of Turkey is likely to leave rates unchanged at 37% today. Governor Fatih Karahan recently stated that the current policy stance, marked by a tighter monetary approach maintained for longer than initially anticipated prior to recent geopolitical developments, remains appropriate. He also underlined that all policy options continue to be available. This approach signals a clear intention to preserve flexibility in policymaking amid evolving geopolitical conditions.

Against this backdrop and considering the recent macroprudential tightening through reduced lending growth caps, along with contained retail foreign exchange demand, we expect the central bank to leave interest rates unchanged at today's MPC meeting. However, ongoing geopolitical uncertainties, as well as domestic political dynamics, may prompt a more cautious stance, potentially resulting in an upward adjustment of the policy rate from 37% towards the current effective funding rate of around 40%.

The market quickly shook off the May pressure on the Turkish lira. CBT kept the USD/TRY spot unchanged and FX implied yields have almost returned to previous levels. FX reserves fell by around US\$8bn in the same period, suggesting a smaller cost compared to the start of the US-Iran conflict or March last year. With the difficult disinflation story of the last few months and the CBT's visible efforts to keep FX stable, it is clear that the current FX regime is here to stay. FX reserves remain high, and despite the thinning FX carry, TRY remains a popular trade in the EM space, which we believe will not change in the coming months.

At the same time, the widening current account deficit clouds the longer horizon and poses a problem for CBT in the future. We expect USD/TRY to be at 53.00 by the end of the year.

Frantisek Taborsky

↑ CEE: Different central bank paths lead to different FX

Core inflation in the Czech Republic rose slightly from 2.8% to 2.9%, a tenth above the Czech National Bank forecast. This is probably not a big game-changer, but it does give the Czech National Bank another small nudge toward a rate hike next week. Bank Board member Jan Prochazka indicated yesterday that the decision for him is 50:50 between no change and a rate hike. We believe that he belongs to the rather dovish side of the board, indicating a rather hawkish leaning of the overall board, increasing the probability of a rate hike next week.

Conversely, in Poland, we are getting different views from the Monetary Policy Committee regarding the direction of the next National Bank of Poland rate change. Overall, however, it seems that any change in rates is not on the table for the coming months. Apparently, the latest inflation print, which surprised on the downside at 3.1%, brought calm to the MPC and wait-and-see is now the best expectation.

In Hungary, May inflation also surprised to the downside at 1.8%, which cements the rate cut expectations for the meeting in two weeks. Moreover, after such a number, a 50bp step cannot be ruled out due to the 3% inflation target and the continued strengthening of the FX. However, the baseline for us remains a rate cut of 25bp in June and 75bp of easing overall this year. Unsurprisingly, the market is pricing in a bit more given the size of the surprise in inflation.

The FX space has been more of a secondary market after the rates market in recent weeks and, in our opinion, there is no choice but to follow local differences. The CNB hiking story will attract CZK buyers, which paints a bullish case here. EUR/CZK will test levels below 24.00 in our view. On the contrary, the NBP has flipped to the dovish side, significantly pushing back against the general expectation of rate hikes in the EM space and pushing EUR/PLN up to 4.265, the upper limit of the current ranges. EUR/HUF is still being pushed down by positive sentiment after the general election, and we keep 350 as a target for mid-year.

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RATES SPARK

Rates Spark: Bracing for a hawkish ECB

The European Central Bank is widely expected to hike rates by 25bp today, and we believe this is to be supported by a [hawkish narrative](#). But the scope for markets to turn even more hawkish seems limited. Over the past few days, the curve is already increasingly set on three hikes, which seems stretched



The European Central Bank is widely expected to hike its main refinancing rate from 2.00% to 2.25% with a hawkish tone

The bar has risen for a hawkish surprise from Lagarde

We expect the ECB to hike by 25bp from 2.0% to 2.25%, [supported by a hawkish tone](#), but the bar has risen to surprise markets. Despite oil prices testing new lows earlier this week, the EUR curve is increasingly set on three rate hikes. A confirmation that ECB hikes are indeed happening likely feeds this narrative. Having said that, we don't see much more upside potential in the near term. Unless the data starts showing second-round inflation effects, we struggle to picture scenarios where more than three hikes are necessary.

The hawkish market pricing gives the ECB extra time to act, which means President Lagarde doesn't have to commit to future hikes. Opening the door to July would be part of the more hawkish outcomes. But the curve is already pricing in a 30% probability of that happening, so the question is whether that can still go higher. Having said that, markets are clearly in a hawkish mood. Even a softer US CPI number did little to bring rates down.

A more dovish tilt would likely come from growth risks rising. But we doubt Lagarde will risk sounding too dovish. Inflation expectations as measured through long-term swaps stay well anchored, which will remain an important focus for the ECB. As long as recession risks stay off the table, markets will be more concerned about persistent second-round inflation than growth dynamics. Too much focus on growth concerns by the ECB could change the perceived reaction function and thereby risk raising markets' inflation expectations.

Thursday's events and market view

The ECB is widely expected to hike interest rates by 25bp at Thursday's policy meeting, which will lift the deposit facility rate to 2.25%. The ECB will also release an updated set of economic projections, which most expect to show higher (headline) inflation forecasts for 2026 and 2027, as well as downward revisions to growth.

The US will release producer price data for May as well as the weekly jobless claims data.

In terms of primary market activity, Italy will auction new 3y bonds (€3.5-4bn). The UK also auctions 3y gilts (£5bn), and the US will then auction 30y (US\$22bn) bonds later in the day.

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THINK economic and financial analysis

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Article | 3 June 2026

A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting



Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.



Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

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Article | 3 June 2026

UNITED KINGDOM

A Bank of England rate hike in July can't be ruled out

A June rate rise now looks unlikely amid a fall in oil prices and weaker economic data. Yet a hike in July is possible if energy flows through the Strait of Hormuz don't materially – and durably – improve over the next 10 weeks



The odds of a Bank of England rate hike in June have faded

A June rate hike no longer looks likely

Our view on the Bank of England has shifted over recent weeks.

[Six weeks ago](#), at the Bank's April meeting, it felt as though officials were edging closer to a rate hike. While policymakers looked notably more reluctant to tighten policy than their counterparts at the European Central Bank, most were also working off a more benign energy scenario than our own base case at a time when sentiment around the Middle East crisis remained fragile. Back then, we thought a June hike had become marginally more likely than not.

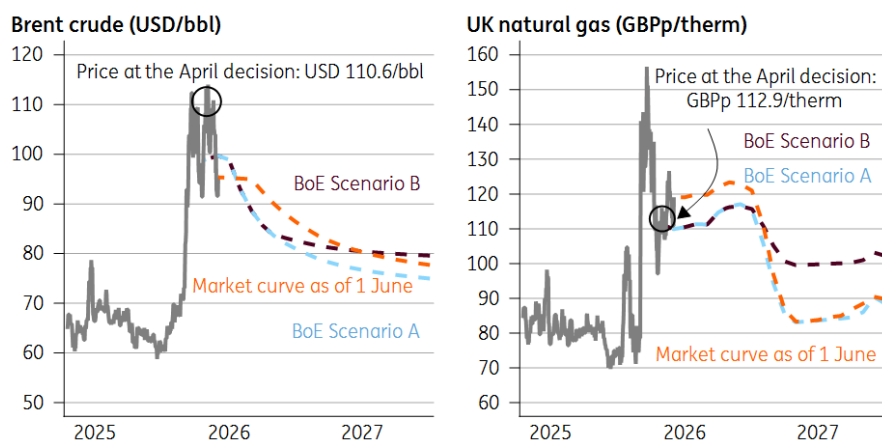
That's no longer the case. Markets are right that the odds of a hike this month have faded.

Yes, oil futures covering late 2026 and 2027 have indeed drifted higher. But that's been offset

by a \$15/bbl fall in spot prices. Even more remarkably, natural gas prices have remained subdued. That matters for Britain, given how heavily it still relies on gas and LNG.

Energy markets now sit somewhere between the Bank's April "scenario A" and "scenario B". Crucially, most officials judged at the time that neither scenario automatically warranted rate rises. In their view, simply not cutting rates – as likely would have happened absent the Iran war – already amounts to de facto tightening.

Energy prices are somewhere between the BoE's "scenario A" and "B"



Source: Macrobond, Bank of England, ING

Bank of England scenarios are based on our own calculation of the average daily futures curves in the 15 working days to 22 April 2026

We think it's particularly significant that futures prices for natural gas delivery in 6-12 months have fallen back close to pre-war levels. If that holds, July's 12% jump in household energy bills could be followed by an 8% fall in October.

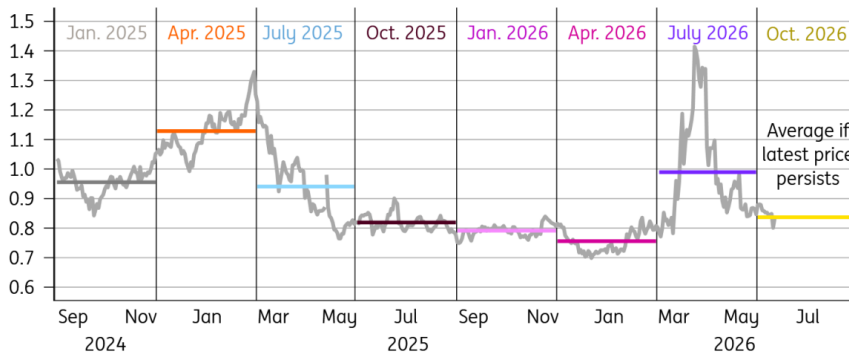
That would leave inflation peaking at around 3.7% in September before hovering near 3.5% into next spring – bearing in mind lower household energy bills into the winter will be offset by rising food inflation.

And that matters because the Bank has effectively drawn a line in the sand at 4%. Last summer, officials argued that inflation is more likely to persist if headline CPI breaches that level for any sustained period. Right now, it's not obvious that it will.

Household energy bills set to fall 8% in October on current futures prices

UK natural gas: 12 months ahead future (GBP/therm)

Solid horizontal lines show average of each Ofgem observation window



Source: Macrobond, ING

The quarterly Ofgem energy cap is calculated on a complex methodology, which heavily relies on natural gas futures 6-12 months ahead and averaged out over a three month observation window

If gas futures don't spike again, inflation peaks below 4%

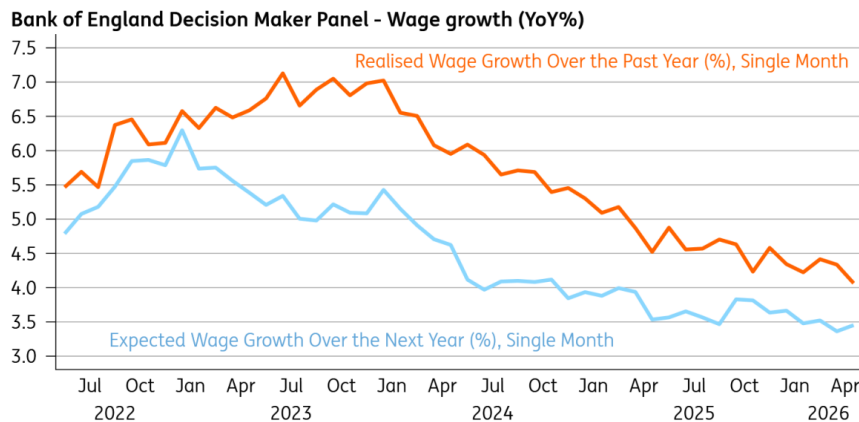
In fact, the inflation profile increasingly resembles the second half of last year, when CPI topped out at 3.8%. The catalysts are slightly different, though that period also involved a spike in food inflation, egged on by payroll tax and national insurance hikes.

Back then, hawks feared price pressures could become more entrenched. Inflation expectations had jumped sharply.

Yet that risk has not materialised – quite the opposite. Inflation data for April, which captures annual price resets at the start of the financial year, was well-behaved.

Meanwhile, the recent jobs data has been dismal. Payrolled employment fell sharply, though is liable to be revised up fairly heavily. Wage growth is dropping like a stone; private pay rose by just 0.6% annualised over the past three months, a far cry from the 8% recorded in 2023. Pay expectations among CFOs responding to the BoE's "decision maker" survey haven't budged since the crisis began, even if output price forecasts are a little higher.

Wage growth looks much more benign than four years ago



Source: Macrobond, ING

A July hike is possible if the Strait of Hormuz stays blocked

It all serves as a reminder that the UK economy is much less susceptible to second round effects than it was during the last energy shock four years ago. The economy is more fragile – and we put very little weight on the eye-popping 0.6% growth figure in the first quarter, which we think was amplified by seasonal adjustment issues.

So where does this leave rates?

Much still depends on whether a deal is reached in the coming weeks and whether that leads to a sustained recovery in energy flows. The longer the crisis drags on, the greater the risk of second-round inflation effects. For instance, our commodities team warns that natural gas prices are biased to the upside, as Europe increasingly competes with Asia for LNG cargoes.

Ultimately, central banks must weigh not just the supply chain disruption seen so far, but the risk that disruption persists through the summer and beyond.

That's why we're not ruling out a July hike if the Strait of Hormuz remains heavily disrupted. And it's why we're likely to see a greater number of officials vote for a rate hike later this month. BoE members Megan Greene and potentially Catherine Mann look likely to join Huw Pill in advocating for higher interest rates, even if Governor Andrew Bailey appears much less convinced.

We'll be taking a fresh look at our global house view on the Middle East and energy prices over the next week or so. But on our existing base case, which factors in a significant recovery in energy flows by July – and based on the current level of spot prices – the more likely scenario is a prolonged pause from the Bank of England.

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Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively



Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. [A major part of global fertiliser and fertiliser feedstock](#) remains exposed. While an extension of the ceasefire [could see a resumption in flows](#), the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of [‘the beginning of a systemic agrifood shock that could trigger a severe global food price crisis’](#). The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest

limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

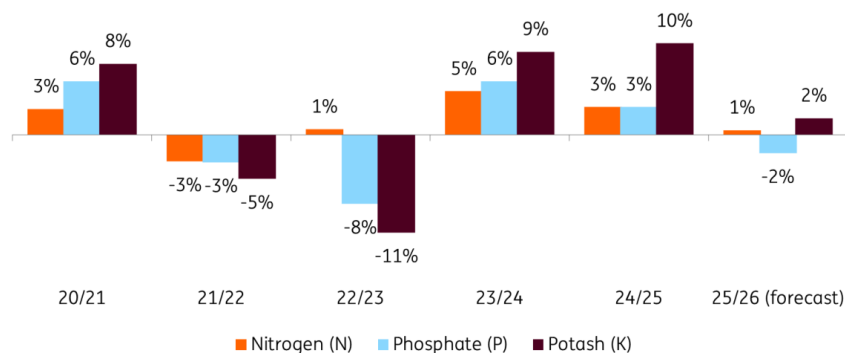
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use



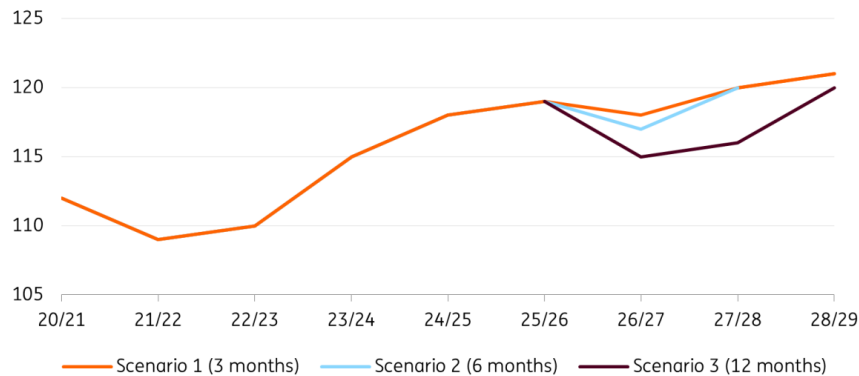
Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its [Fertiliser Action Plan](#),

which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute ([IFPRI](#)). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely \$4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

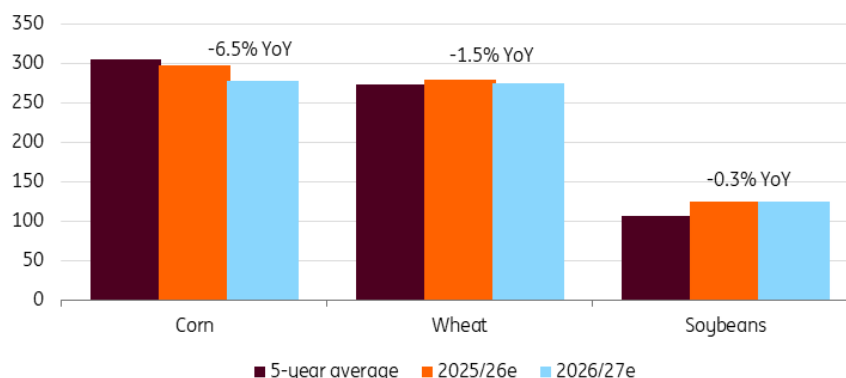
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US\$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if

fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

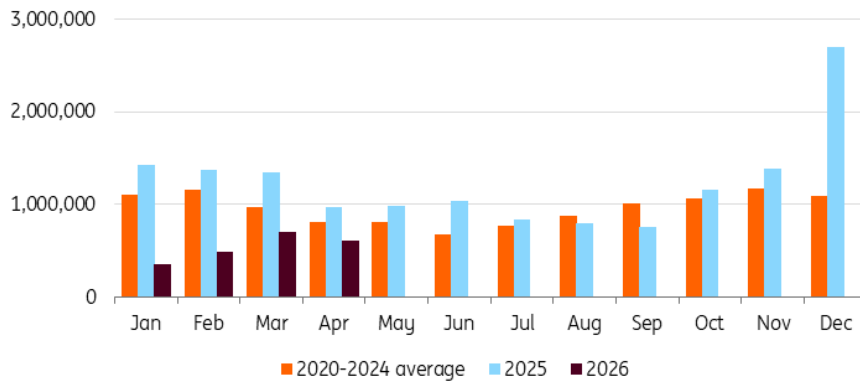
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration [is forecasting](#) an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers – several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower

application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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